



**United Company RUSAL,
International public joint-stock company**

**Consolidated Interim Condensed Financial Statements
for the six-month period ended
30 June 2025**

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Report on Review of Consolidated Interim Condensed Financial Statements

To the Board of Directors of
International public joint-stock company
United Company RUSAL

Introduction

We have reviewed the accompanying consolidated interim condensed financial statements of International public joint-stock company United Company RUSAL and its subsidiaries (the "Group"), which comprise the consolidated interim condensed statement of income, the consolidated interim condensed statement of comprehensive income for the six-month period ended 30 June 2025, the consolidated interim condensed statement of financial position as at 30 June 2025, the consolidated interim condensed statements of changes in equity and cash flows for the six-month period then ended, and selected explanatory notes ("the consolidated interim condensed financial statements"). The Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited require the preparation of consolidated interim condensed financial statements to be in compliance with the relevant provisions thereof and International Accounting Standard 34 *Interim Financial Reporting* ("IAS 34").

Management of the Group is responsible for the preparation and presentation of this consolidated interim condensed financial statements in accordance with IAS 34 *Interim Financial Reporting*. Our responsibility is to express a conclusion on these consolidated interim condensed financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410 *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of consolidated interim condensed financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying consolidated interim condensed financial statements are not prepared, in all material respects, in accordance with IAS 34 *Interim Financial Reporting*.

Emphasis of matter

We draw attention to Note 1 to the consolidated interim condensed financial statements as at 30 June 2025, which indicates that the geopolitical tensions and sanctions imposed by a range of countries, accompanied by the volatility of commodity, stock and currency markets, may significantly affect operational, investing and financing activity of the Group. As stated in Note 1, these events or conditions, along with other matters as set forth in Note 1 to the consolidated interim condensed financial statements, indicate that material uncertainty exists that may cast significant doubt about the Group's ability to continue as a going concern. Our conclusion is not modified in respect of this matter.



Khachaturian Mikhail Sergeevich
Partner
TSATR – Audit Services Limited Liability Company

14 August 2025

Details of the auditor

Name: TSATR – Audit Services Limited Liability Company
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 75.
TSATR – Audit Services Limited Liability Company is a member of Self-regulatory organization of auditors Association "Sodruzhestvo". TSATR – Audit Services Limited Liability Company is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

Details of the entity

Name: International public joint-stock company United Company RUSAL
Record made in the State Register of Legal Entities on 25 September 2020, State Registration Number 1203900011974.
Address: Russia 236006, Kaliningrad, Oktyabrskaya street, 8, office 410.

		Six months ended 30 June	
		2025	2024
	Note	(unaudited)	(unaudited)
		USD million	USD million
Revenue	5	7,520	5,695
Cost of sales	6 (a)	(6,110)	(4,385)
Gross profit		1,410	1,310
Distribution expenses	6 (b)	(504)	(363)
Administrative expenses	6 (b)	(354)	(290)
Impairment of non-current assets	6 (b)	(166)	(96)
Provision for expected credit losses	6 (b), 11 (a)	(8)	(10)
Net other operating expenses	6 (b)	(126)	(111)
Results from operating activities		252	440
Finance income	7	166	242
Finance expenses	7	(584)	(176)
Share of profits of associates and joint ventures	10	291	223
Profit before taxation		125	729
Current income tax expense	8	(73)	(63)
Deferred income tax expense	8	(139)	(101)
Income tax		(212)	(164)
(Loss)/profit for the period		(87)	565
Attributable to Shareholders of the Company		(87)	565
(Loss)/profit for the period		(87)	565
Earnings per share			
Basic and diluted (loss)/earnings per share (USD)	9	(0.0057)	0.0372
Adjusted EBITDA	4, 6 (c)	748	786

		Six months ended 30 June	
		2025	2024
		(unaudited)	(unaudited)
Note		USD million	USD million
(Loss)/profit for the period		(87)	565
Other comprehensive income or loss			
<i>Items that will never be reclassified subsequently to profit or loss</i>			
Actuarial income/(loss) on post retirement benefit plans	14	1	(2)
		1	(2)
<i>Items that are or may be reclassified subsequently to profit or loss</i>			
Change in fair value of cash flow hedges	15	(34)	–
Foreign currency translation differences on foreign subsidiaries		(125)	197
Foreign currency translation differences for equity-accounted investees	10	1,133	187
		974	384
Other comprehensive income for the period, net of tax		975	382
Total comprehensive income for the period		888	947
Attributable to:			
Shareholders of the Company		888	947

There was no significant tax effect relating to each component of other comprehensive income or loss.

		30 June 2025 (unaudited)	31 December 2024
	Note	USD million	USD million
Assets			
Non-current assets			
Property, plant and equipment and investment properties		6,626	6,005
Intangible assets		2,418	2,201
Interests in associates and joint ventures	10	6,186	4,868
Deferred tax assets		191	328
Investments in equity securities measured at fair value through profit or loss	11 (f)	259	217
Other non-current assets	11 (e)	138	221
Total non-current assets		15,818	13,840
Current assets			
Inventories		4,341	4,477
Short-term investments	11 (g)	218	112
Trade and other receivables	11 (a)	1,606	1,470
Prepayments and input VAT	11 (b)	837	721
Current income tax receivables		27	30
Dividends receivable		—	29
Derivative financial assets	15	81	19
Cash and cash equivalents		1,125	1,503
Total current assets		8,235	8,361
Total assets		24,053	22,201
Equity and liabilities			
Equity	12		
Share capital		152	152
Share premium		15,786	15,786
Other reserves		2,823	2,856
Currency translation reserve		(10,197)	(11,205)
Retained earnings		3,540	3,627
Total equity		12,104	11,216
Non-current liabilities			
Loans and borrowings	13	2,258	3,398
Provisions	14	297	243
Deferred tax liabilities		447	466
Other non-current liabilities		130	119
Total non-current liabilities		3,132	4,226
Current liabilities			
Loans and borrowings	13	6,245	4,520
Trade and other payables	11 (c)	1,569	1,535
Advances received	11 (d)	683	420
Other tax payable		215	157
Dividends payable		5	5
Derivative financial liabilities	15	—	26
Provisions	14	100	96
Total current liabilities		8,817	6,759
Total liabilities		11,949	10,985
Total equity and liabilities		24,053	22,201
Net current (liabilities)/assets		(582)	1,602
Total assets less current liabilities		15,236	15,442

Preliminary reviewed, approved and authorised for issue by the board of directors on 14 August 2025.


Evgenii V. Nikitin
General Director

	Share capital USD million	Share premium USD million	Other reserves USD million	Currency translation reserve USD million	Retained earnings USD million	Total equity USD million
Balance at 1 January 2025	152	15,786	2,856	(11,205)	3,627	11,216
Loss for the period (unaudited)	–	–	–	–	(87)	(87)
Other comprehensive income or (loss) for the period (unaudited)	–	–	(33)	1,008	–	975
Total comprehensive (loss)/income for the period (unaudited)	–	–	(33)	1,008	(87)	888
Balance at 30 June 2025 (unaudited)	152	15,786	2,823	(10,197)	3,540	12,104
Balance at 1 January 2024	152	15,786	2,689	(10,613)	3,002	11,016
Profit for the period (unaudited)	–	–	–	–	565	565
Other comprehensive income for the period (unaudited)	–	–	(2)	384	–	382
Total comprehensive income for the period (unaudited)	–	–	(2)	384	565	947
Balance at 30 June 2024 (unaudited)	152	15,786	2,687	(10,229)	3,567	11,963

	Note	Six months ended 30 June	
		2025	2024
		(unaudited) USD million	(unaudited) USD million
Operating activities			
(Loss)/profit for the period		(87)	565
<i>Adjustments for:</i>			
Depreciation	6	315	237
Amortisation	6	12	12
Impairment of non-current assets	6 (b)	166	96
Accrual of provision for expected credit losses of trade and other receivables	6 (b), 14	8	10
Partial write-down / (reversal of write-down) of inventories to net realisable value		44	(9)
Pension provision		3	1
Change in fair value of derivative financial instruments	7	(95)	(41)
Net foreign exchange loss/(gain)	7	181	(139)
Loss on disposal of property, plant and equipment	6 (b)	3	1
Interest expense	7	403	169
Interest income	7	(47)	(62)
Income tax expense	8	212	164
Revaluation of investments measured at fair value through profit or loss, incl. forex income	7	(24)	7
Share of profits of associates and joint ventures	10	(291)	(223)
Cash from operating activities before changes in working capital and provisions		803	788
Decrease/(increase) in inventories		94	(230)
Increase in trade and other receivables		(265)	(663)
Increase/(decrease) in trade and other payables and advances received		337	(235)
Decrease in provisions		(9)	(2)
Cash generated from / (used in) operations before income tax paid		960	(342)
Income taxes paid		(72)	(61)
Net cash generated from / (used in) operating activities		888	(403)
Investing activities			
Proceeds from disposal of property, plant and equipment		10	6
Interest received		45	67
Acquisition of property, plant and equipment		(695)	(504)
Acquisition of intangible assets		(12)	(12)
Cash received from other investments		5	47
Acquisition of a joint venture	10	—	(251)
Dividends from associates and joint ventures		119	416
Change in restricted cash		—	(1)
Net cash used in investing activities		(528)	(232)
Financing activities			
Proceeds from borrowings		3,961	537
Repayment of borrowings		(4,394)	(473)
Interest paid		(472)	(184)
Payment of restructuring and other expenses		(8)	(4)
Settlement of derivative financial instruments		114	20
Net cash used in financing activities		(799)	(104)
Net decrease in cash and cash equivalents		(439)	(739)
Cash and cash equivalents at the beginning of the period		1,501	2,085
Effect of exchange rate changes on cash and cash equivalents		61	(24)
Cash and cash equivalents at the end of the period		1,123	1,322

Restricted cash amounted to USD 2 million and USD 2 million at 30 June 2025 and 31 December 2024, respectively.

1. Background

(a) Organisation

United Company RUSAL, international public joint-stock company (United Company RUSAL Plc prior to 25 September 2020) (“UC RUSAL IPJSC”, the “Company” or “UC RUSAL”) was established by the controlling shareholder of RUSAL Limited (“RUSAL”) as a limited liability company under the laws of Jersey on 26 October 2006. On 27 January 2010, the Company successfully completed a placing on the Main Board of The Stock Exchange of Hong Kong Limited (“Hong Kong Stock Exchange”) and changed its legal form from a limited liability company to a public limited company.

On 23 March 2015, the shares of the Company were admitted to listing on PJSC Moscow Exchange MICEX-RTS (“Moscow Exchange”) in the First Level quotation list. The trading of shares on Moscow Exchange commenced on 30 March 2015. There was no issue of new shares.

The extraordinary general meeting of the Company held on 1 August 2019 approved the application by the Company to the regulatory authorities in Russia for continuance as a company with the status of an International Company established under the laws of Russia (the “Redomiciliation”). On 25 September 2020 UC RUSAL changed its domicile to the Russian Federation as UC RUSAL IPJSC.

The Company’s registered office is Oktyabrskaya st. 8, office 410, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

The Company directly or through its wholly owned subsidiaries controls a number of production and trading entities engaged in the aluminium business and other entities, which together with the Company are referred to as “the Group”.

The shareholding structure of the Company as at 30 June 2025 and 31 December 2024 was as follows:

	30 June 2025	31 December 2024
EN+ GROUP IPJSC (“EN+”, former En+ Group Plc)	56.88%	56.88%
SUAL PARTNERS ILLC (“SUAL PARTNERS”, formerly SUAL Partners Limited)	25.52%	25.52%
Mr. Oleg V. Deripaska	0.01%	0.01%
Publicly held	17.59%	17.59%
Total	100.00%	100.00%

At 30 June 2025 and 31 December 2024, the immediate parent of the Group was EN+ GROUP International public joint-stock company (EN+ GROUP IPJSC) with the registered office at Oktyabrskaya st. 8, office 34, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

Based on the information provided by EN+, at the reporting date there is no individual that has an indirect prevailing ownership interest in EN+ GROUP IPJSC exceeding 50%, who could exercise voting rights in respect of more than 35% of EN+ GROUP IPJSC’s issued share capital or has an opportunity to exercise control over EN+ GROUP IPJSC. As at 30 June 2025 and 31 December 2024, Mr. Oleg Deripaska beneficially controls and exercises voting rights in respect of 35% of the voting shares of EN+ GROUP IPJSC and cannot exceed his direct or indirect shareholding over 44.95% of the shares of the EN+ GROUP IPJSC.

Related party transactions are disclosed in Note 17.

The consolidated financial statements of the Group as at and for the year ended 31 December 2024 are available at the Company’s website www.rusal.com.

(b) Seasonality

There are no material seasonal events in business activity of the Group.

(c) Operations

The Group operates in the aluminium industry primarily in the Russian Federation, Guinea, Jamaica, Ireland, Italy and Sweden and is principally engaged in the mining and refining of bauxite and nepheline ore into alumina, the smelting of primary aluminium from alumina and the fabrication of aluminium and aluminium alloys into semi-fabricated and finished products. The Group sells its products primarily in Asia, Russia, other countries of the Commonwealth of Independent States (“CIS”) and Europe.

(d) Business environment in emerging economies

The Russian Federation, Jamaica and Guinea have been experiencing varied political and economic changes that have affected, and may continue to affect, the activities of enterprises operating in these environments. Consequently, operations in these countries involve risks that typically do not exist in other markets, including reconsideration of privatisation terms in certain countries where the Group operates following changes in governing political powers.

The imposition of economic sanctions on Russian individuals and legal entities by the European Union, the United States of America, Japan, Canada and others, as well as counter sanctions imposed by the Russian government, have resulted in increased economic uncertainty including more volatile equity, commodity and currency markets. The longer term effects of implemented sanctions, as well as the threat of additional future sanctions, are difficult to determine.

The consolidated interim condensed financial statements reflect management’s assessment of the impact of the Russian, Jamaican and Guinean business environments on the operations and the financial position of the Group. The future business environment may differ from management’s assessment.

(e) OFAC Sanctions

On 6 April 2018, the U.S. Department of the Treasury’s Office of Foreign Assets Control (“OFAC”) designated, amongst others, the Company, as a Specially Designated National (“SDN”) (the “OFAC Sanctions”).

As a result, all property or interests in property of the Company and its subsidiaries located in the United States or in the possession of U.S. Persons were blocked, must have been frozen, and could not be transferred, paid, exported, withdrawn, or otherwise dealt in. Several general licenses were issued at the time of the designation and later on authorizing certain transactions with the Company, its majority shareholder EN+ GROUP IPJSC (“EN+”, former En+ Group Plc “En+”), and with their respective debt and equity.

On 27 January 2019, OFAC announced removal of the Company and En+ from OFAC’s SDN List with immediate effect. The removal was subject to and conditional upon the satisfaction of a number of conditions including, but not limited to, corporate governance changes, including, inter alia, overhauling the composition of the Board to ensure that independent directors constitute the majority of the Board, stepping down of the Chairman of the Board, and ongoing reporting and certifications by the Company to OFAC concerning compliance with the conditions for removal.

(f) Going concern

These consolidated interim condensed financial statements have been prepared assuming that the Group will continue as a going concern. Accordingly, these statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts, the amounts and classification of liabilities or any other adjustments that might result from the Group being unable to continue as a going concern.

Continuing geopolitical instability and unpredictability of its further developments, including current and potential sanctions imposed by US, EU and other countries, may cause potential significant limitations for sales channels, availability of production raw materials and possibility to organize supply chain. Availability of future financing, including increased key rate of Central Bank of Russian Federation and volatility of currency, stock commodity and financial markets, potential imposition of export customs duties may affect the Group’s business, financial condition, prospects and results of operations.

The facts described above create material uncertainty in the Group's ability to meet its financial obligations on time and continue as a going concern entity. Management constantly evaluates the current situation and prepares forecasts taking into account different scenarios of the events and conditions development. The Group's management expects that prices on the world commodity markets will grow and improve the results of operating activities. The Group is also revising supply and sales chains, ensuring an optimal equity and debt ratio, searching for resolutions of logistic difficulties, as well as the ways to service its obligations in order to adapt the current economic changes to maintain the continuance of the Group's operations.

2. Basis of preparation

(a) Statement of compliance

These consolidated interim condensed financial statements for the six months ended 30 June 2025 have been prepared in accordance with IAS 34 *Interim Financial Reporting*, which was endorsed on the territory of Russian Federation and the disclosure requirements of the Hong Kong Companies Ordinance.

These consolidated interim condensed financial statements do not include all of the information required for full annual financial statements prepared in accordance with IFRS Accounting Standards and therefore should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2024.

3. Significant accounting policies

The accounting policies adopted in the preparation of the consolidated interim condensed financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2024, except for the adoption of amendments to the existing standards effective as of 1 January 2025:

Amendments to IAS 21 – Lack of Exchangeability

On 20 August 2023, the IASB issued amendments to IAS 21 *The Effects of Changes in Foreign Exchange Rates*, which introduce the definition of an 'exchangeable currency' and provide the following explanations:

- A currency is exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.
- An entity shall assess whether a currency is exchangeable into another currency at a measurement date and for a specified purpose. If an entity is able to obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose, the currency is not exchangeable into the other currency.
- The guidance relating to a situation where several exchange rates are available remained the same, but the requirement to use the first subsequent rate at which exchanges could be made if exchangeability between two currencies is temporarily lacking was removed. In this case, an entity is required to estimate a spot exchange rate.

In addition, some new disclosure requirements were added. An entity is required to disclose information about:

- The nature and financial effects of the currency not being exchangeable into the other currency;
- The spot exchange rate(s) used;
- The estimation process; and
- The risks to which the entity is exposed because of the currency not being exchangeable into the other currency.

The amendments had no impact on the Group's consolidated interim condensed financial statements, as the Group does not operate in the context where *there is a lack of exchangeability*.

4. Segment reporting

(a) Reportable segments

The Group has four reportable segments, as described below, which are the Group's strategic business units. These business units are managed separately and the results of their operations are reviewed by the CEO on a regular basis.

Aluminium. The Aluminium segment is involved in the production and sale of primary aluminium and related products.

Alumina. The Alumina segment is involved in the mining and refining of bauxite into alumina and the sale of alumina. The segment also includes the Group's equity investment in Hebei Wenfeng New Materials Co., Ltd starting from April 2024 (Note 10).

Energy. The Energy segment includes the Group companies and projects engaged in the mining and sale of coal and the generation and transmission of electricity produced from various sources. Where the generating facility is solely a part of an alumina or aluminium production facility it is included in the respective reportable segment.

Mining and Metals. The Mining and Metals segment includes the equity investment in PJSC MMC Norilsk Nickel ("Norilsk Nickel").

Other operations include manufacturing of semi-finished products from primary aluminium for the transportation, packaging, building and construction, consumer goods and technology industries; and the activities of the Group's administrative centres. None of these segments meet any of the quantitative thresholds for determining reportable segments.

The Aluminium and Alumina segments are vertically integrated whereby the Alumina segment supplies alumina to the Aluminium segment for further refining and smelting with limited sales of alumina outside the Group. Integration between the Aluminium, Alumina and Energy segments also includes shared servicing and distribution.

(b) Segment results, assets and liabilities

For the purposes of assessing segment performance and allocating resources between segments, the Group's senior executive management monitors the results, assets and liabilities attributable to each reportable segment on the following bases:

Segment assets include all tangible, intangible assets and current assets with the exception of income tax assets and corporate assets. Segment liabilities include trade and other payables attributable to the production and sales activities of the individual segments. Loans and borrowings are not allocated to individual segments as they are centrally managed by the head office.

Revenue and expenses are allocated to the reportable segments with reference to sales generated by those segments and the expenses incurred by those segments or which otherwise arise from the depreciation or amortisation of assets attributable to those segments excluding impairment.

The measure used for reporting segment results is the profit before income tax adjusted for items not specifically attributed to individual segments, such as finance income, costs of loans and borrowings and other head office or corporate administration costs. The segment profit or loss is included in the internal management reports that are reviewed by the Group's CEO. Segment profit or loss is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

In addition to receiving segment information concerning segment results, management is provided with segment information concerning revenue (including inter-segment revenue), the carrying value of investments and share of profits/(losses) of associates and joint ventures, depreciation, amortisation, impairment and additions of non-current segment assets used by the segments in their operations. Inter-segment pricing is determined on a consistent basis using market benchmarks.

Segment capital expenditure is the total cost incurred during the reporting period to acquire property, plant and equipment and investment property and intangible assets other than goodwill.

The Group acquired property, plant and equipment in the total amount of USD 783 million for the six months ended 30 June 2025 (USD 562 million for the six months ended 30 June 2024). The carrying amount of property, plant and equipment disposed during the six months ended 30 June 2025 comprised USD 24 million (USD 43 million for the six months ended 30 June 2024).

The Group performed analysis of impairment indicators as of 30 June 2025 and concluded, that there were no impairment indicators as of this date except for the alumina cash generating units: starting from beginning of the year, alumina prices (including their forecasts) have decreased. As a result, the amount of impairment related to alumina cash generating units comprised USD 41 million and was recognized within the impairment of non-current assets line in the consolidated interim condensed statement of income. The remaining amount of impairment as disclosed in Note 6 (b) to these consolidated interim condensed financial statements is mostly attributable to write offs of the property, plant and equipment objects, which were acquired during the first half of 2025 and relate to cash generating units, which have been previously impaired. Should the RUB against USD exchange rate continue at levels of first half of 2025, other variables being unchanged, the impairment charge for the aluminum cash generating units would be recognised in the consolidated financial statements of the Group.

(i) Reportable segments

Six months ended 30 June 2025

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>USD million</u>
Revenue from external customers	6,104	925	–	–	7,029
Inter-segment revenue	153	1,998	–	–	2,151
Total segment revenue	6,257	2,923	–	–	9,180
Segment EBITDA	534	309	–	–	843
Depreciation/amortisation	(245)	(59)	–	–	(304)
Share of profits of associates and joint ventures	–	30	83	178	291
Segment profit	289	280	83	178	830
(Impairment)/reversal of impairment of non-current assets	(47)	(109)	–	–	(156)
Non-cash income/(expense)	2	(39)	–	–	(37)
Capital expenditure	(480)	(162)	–	–	(642)
Non-cash adjustments to non-current segment assets related to site restoration	4	3	–	–	7

Six months ended 30 June 2024

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>USD million</u>
Revenue from external customers	4,742	552	–	–	5,294
Inter-segment revenue	140	1,799	–	–	1,939
Total segment revenue	4,882	2,351	–	–	7,233
Segment EBITDA	689	201	–	–	890
Depreciation/amortisation	(175)	(45)	–	–	(220)
Share of profits of associates and joint ventures	–	–	49	174	223
Segment profit	514	156	49	174	893
(Impairment)/reversal of impairment of non-current assets	(14)	(81)	–	–	(95)
Non-cash income/(expense)	2	2	–	–	4
Capital expenditure	(343)	(136)	–	–	(479)
Non-cash adjustments to non-current segment assets related to site restoration	(1)	25	–	–	24

At 30 June 2025

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>reportable</u> <u>segments</u> <u>USD million</u>
Segment assets	9,792	2,245	–	–	12,037
Interests in associates and joint ventures	–	363	1,091	4,731	6,185
Total segment assets	9,792	2,608	1,091	4,731	18,222
Segment liabilities	(1,391)	(819)	(20)	–	(2,230)
Total segment liabilities	(1,391)	(819)	(20)	–	(2,230)

At 31 December 2024

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>reportable</u> <u>segments</u> <u>USD million</u>
Segment assets	9,189	2,106	–	–	11,295
Interests in associates and joint ventures	–	434	816	3,616	4,866
Total segment assets	9,189	2,540	816	3,616	16,161
Segment liabilities	(1,556)	(630)	(18)	–	(2,204)
Total segment liabilities	(1,556)	(630)	(18)	–	(2,204)

(ii) Reconciliation of reportable segment revenue, profit or loss, assets and liabilities

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Revenue		
Reportable segments' revenue	9,180	7,233
Elimination of inter-segment revenue	(2,151)	(1,939)
Unallocated revenue	491	401
Consolidated revenue	7,520	5,695

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Profit		
Reportable segments' profit	830	893
Impairment of non-current assets	(166)	(96)
Loss on disposal of property, plant and equipment	(3)	(1)
Finance income	166	242
Finance expenses	(584)	(176)
Unallocated expense	(118)	(133)
Consolidated profit before taxation	125	729

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Adjusted EBITDA		
Reportable segments EBITDA	843	890
Unallocated depreciation	23	29
Unallocated expenses	(118)	(133)
Consolidated adjusted EBITDA	748	786

	30 June 2025	31 December 2024
	USD million	USD million
Assets		
Reportable segment assets	18,222	16,161
Unallocated assets	5,831	6,040
Consolidated total assets	24,053	22,201

	30 June 2025	31 December 2024
	USD million	USD million
Liabilities		
Reportable segment liabilities	(2,230)	(2,204)
Unallocated liabilities	(9,719)	(8,781)
Consolidated total liabilities	(11,949)	(10,985)

5. Revenue

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Revenue from contracts with customers	7,520	5,695
Sales of products	7,358	5,564
Sales of primary aluminium and alloys	5,966	4,597
Sales of alumina and bauxite	660	330
Sales of foil and other aluminium products	376	342
Sales of other products	356	295
Provision of services	162	131
Supply of energy	104	89
Provision of transportation services	8	13
Provision of other services	50	29
Total revenue by types of customers	7,520	5,695
Third parties	6,850	5,272
Related parties – companies capable of exerting significant influence	34	109
Related parties – companies related through parent company	78	99
Related parties – associates and joint ventures	558	215
Total revenue by primary regions	7,520	5,695
Asia	3,983	2,371
CIS	2,180	1,956
Europe	1,251	1,258
America	44	72
Other	62	38

Revenue from sale of primary aluminium and alloys relates to aluminium segment (Note 4). Revenue from sales of alumina and bauxite relates to alumina segment. Revenue from sale of foil and other aluminium products and other products and services relates mostly to the revenue of non-reportable segments.

6. Cost of sales and operating expenses

(a) Cost of sales

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Cost of alumina, bauxite and other materials	(2,705)	(2,288)
Third parties	(2,313)	(2,138)
Related parties – companies capable of exerting significant influence	(46)	(34)
Related parties – companies related through parent company	(11)	(3)
Related parties – associates and joint ventures	(335)	(113)
Purchases of primary aluminium	(648)	(267)
Third parties	(140)	(76)
Related parties – associates and joint ventures	(508)	(191)
Energy costs	(1,382)	(1,107)
Third parties	(465)	(632)
Related parties – companies capable of exerting significant influence	(24)	(22)
Related parties – companies related through parent company	(873)	(435)
Related parties – associates and joint ventures	(20)	(18)
Personnel costs	(439)	(345)
Depreciation and amortisation	(312)	(234)
Change in finished goods	(132)	188
Other costs	(492)	(332)
Third parties	(487)	(329)
Related parties – companies related through parent company	(5)	(3)
	(6,110)	(4,385)

(b) Distribution, administrative and other operating expenses, impairment of non-current assets

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Transportation expenses	(392)	(260)
Personnel costs	(172)	(132)
Impairment of non-current assets	(166)	(96)
Charitable donations	(60)	(32)
Consulting and legal expenses	(57)	(41)
Packaging materials	(32)	(36)
Repair and other services	(32)	(27)
Security	(30)	(27)
Taxes other than on income	(27)	(24)
Customs duties	(22)	(21)
Depreciation and amortisation	(15)	(15)
Social expenses	(15)	(11)
Expected credit losses	(8)	(10)
Cargo insurance	(8)	(5)
Traveling expenses	(7)	(6)
Short-term lease and variable lease payments	(4)	(4)
Loss on disposal of property, plant and equipment	(3)	(1)
Auditors' remuneration	(2)	(2)
Other expenses	(106)	(120)
	(1,158)	(870)

(c) EBITDA and operating effectiveness measures

Adjusted EBITDA is the key non-IFRS financial measure used by the Group as reference for assessing operating effectiveness.

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Results from operating activities	252	440
<i>Add:</i>		
Amortisation and depreciation	327	249
Impairment of non-current assets	166	96
Loss on disposal of property, plant and equipment	3	1
Adjusted EBITDA	748	786

7. Finance income and expenses

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Finance income		
Interest income on third party loans and deposits	45	62
Interest income on loans to related parties	2	–
Net foreign exchange gain	–	139
Revaluation of investments measured at fair value through profit and loss, incl. forex income	24	–
Change in fair value of derivative financial instruments (Note 15)	95	41
	166	242
Finance expenses		
Interest expense on bank loans, bonds and other bank charges	(389)	(160)
Interest expense on loans to related parties	(2)	–
Interest expense on provisions	(9)	(7)
Net foreign exchange loss	(181)	–
Revaluation of investments measured at fair value through profit and loss, incl. forex income	–	(7)
Leases interest costs	(3)	(2)
	(584)	(176)

Starting from 1 January 2025 the Group presents in the consolidated interim condensed statement of income the gains or losses recognised on sales/purchases of foreign currencies within foreign exchange gains or losses included in the finance income or expenses line item. Management of the Group believes that the new presentation of results provides reliable and more relevant information about the effects of foreign currency sales/purchases transactions on the Group's financial performance because these effects have the nature similar to all other foreign currency gains and losses.

8. Income tax

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Current tax		
Current tax for the period	73	63
Deferred tax		
Origination and reversal of temporary differences	139	101
Income tax expense	212	164

Increase in the income tax rate in Russian Federation

On 12 July 2024, Federal Law No. 176-FZ *On Amendments to Parts One and Two of the Tax Code of the Russian Federation, Certain Legislative Acts of the Russian Federation, and the Annulment of Certain Provisions of Legislative Acts of the Russian Federation* was adopted. Among other things, the Law introduced an increase in the income tax rate from 20% to 25%. The Law is effective from 1 January 2025.

The Company is considered a Russian tax resident with an applicable corporate tax rate of 25%, for majority of dividend income of the Company the tax rate is 0%. Non-Russian subsidiaries pay corporate income taxes in accordance with the legislative requirements of their respective tax jurisdictions which may be less than 15%. The subsidiaries will make the required calculations in accordance with BEPS 2.0 Pillar 2 rules and assess whether Top-up Tax (based on effective tax rate of 15%) is payable. As of the date of authorization of these consolidated interim condensed financial statements for issue, management estimates the Top-up Tax effect as immaterial.

9. Earnings per share

The calculation of basic earnings per share is based on profit attributable to ordinary equity shareholders for the six-months periods ended 30 June 2025 and 30 June 2024.

Weighted average number of shares:

	Six months ended 30 June	
	2025	2024
Issued ordinary shares at beginning of the period	15,193,014,862	15,193,014,862
Effect of treasury shares	—	—
Weighted average number of shares at end of the period	15,193,014,862	15,193,014,862
(Loss)/profit for the period, USD million	(87)	565
Basic and diluted (loss)/earnings per share, USD	(0.0057)	0.0372

There were no outstanding dilutive instruments during the periods ended 30 June 2025 and 30 June 2024.

No dividends were declared and paid during the periods presented.

10. Interests in associates and joint ventures

	Six months ended 30 June					
	2025			2024		
	USD million			USD million		
	Investments in joint ventures	Investments in associates	Total	Investments in joint ventures	Investments in associates	Total
Balance at the beginning of the year	1,252	3,616	4,868	851	3,670	4,521
Acquisition of Hebei Wenfeng New Materials Co., Ltd	—	—	—	264	—	264
Group's share of profits	113	178	291	49	174	223
Dividends	(100)	—	(100)	—	—	—
Foreign currency translation	196	937	1,133	29	158	187
Unrealised profit or (loss)	(6)	—	(6)	—	—	—
Balance at the end of the year	1,455	4,731	6,186	1,193	4,002	5,195
Goodwill included in interests in associates / joint ventures	84	2,202	2,286	—	2,053	2,053

Investment in Norilsk Nickel

The Group's share of profit of Norilsk Nickel was USD 178 million, the foreign currency translation gain of USD 937 million for the six months ended 30 June 2025 (USD 174 million and USD 158 million for the six months ended 30 June 2024). The carrying value of the investment was USD 4,731 million as at 30 June 2025 (USD 4,002 million as at 30 June 2024).

The fair value of the investment in Norilsk Nickel as at 30 June 2025 was USD 5,715 million (31 December 2024: USD 4,585 million). The fair value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

Investment in Hebei Wenfeng New Materials Co., Ltd

In October 2023 the Group entered into a share-purchase agreement to acquire 30% interest in the share capital of Hebei Wenfeng New Materials Co., Ltd – the alumina production plant, located in China. All rights attached to the interest acquired were transferred to the Group in April 2024, therefore the Group recognized the investment in its consolidated financial statements for the year ended 31 December 2024. The initial consideration paid comprised USD 264 million and was further adjusted to USD 316 million in accordance with the certain conditions of the share purchase agreement.

The Group finalized the valuation process of the fair value of the Group's share in the investment's net assets as of the date of acquisition of the investment, which amounted to USD 238 million. Accordingly, the goodwill which arose on the acquisition of the investment amounted to USD 78 million and was included in the carrying amount of the investment in Hebei Wenfeng New Materials Co., Ltd. in accordance with IAS 28 *Investments in Associates and Joint Ventures*.

Most significant decisions on relevant activities of the investment shall be made by resolution approved unanimously by all Board members or all shareholders. Accordingly, the Group concluded that it has joint control over the Hebei Wenfeng New Materials Co., Ltd. Based on analysis of the relevant facts the management of the Group concluded that, in substance, the arrangement gives the investors rights to its net assets. Therefore it has determined that the Group's investment in Hebei Wenfeng New Materials Co., Ltd. should be accounted for as a joint venture rather than a joint operation.

Simultaneously, the Group entered into several put and call option agreements with the seller of the investment with the aim to protect the Group's or the seller's interests in the investment. Mostly, exercise of these options are subject to occurrence of specific corporate events, which are not under the Group's control and are hard to predict. These options did not affect the classification of the investment as a joint venture.

11. Non-derivative financial and non-financial instruments

(a) Trade and other receivables

	30 June 2025	31 December 2024
	USD million	USD million
Trade receivables from third parties	1,251	916
Impairment loss on trade receivables	(99)	(92)
Net trade receivables from third parties	1,152	824
Trade receivables from related parties, including:	237	429
Related parties – companies capable of exerting significant influence	4	25
Related parties – companies related through parent company	74	52
Related parties – associates and joint ventures	159	352
Other receivables from third parties	213	218
Impairment loss on other receivables	(3)	(7)
Net other receivables from third parties	210	211
Other receivables from related parties, including:	7	6
Related parties – companies related through parent company	50	35
Impairment loss on other receivables from related parties – companies related through parent company	(44)	(30)
Net other receivables to related parties – companies related through parent company	6	5
Related parties – associates and joint ventures	1	1
	1,606	1,470

All of the trade and other receivables are expected to be settled within one year or are repayable on demand.

(i) Ageing analysis

Included in trade and other receivables are trade receivables (net of loss allowance for expected credit losses) with the following ageing analysis as of the reporting dates:

	30 June 2025	31 December 2024
	USD million	USD million
Current (not past due)	1,287	1,198
1-30 days past due	17	9
31-60 days past due	9	1
61-90 days past due	3	1
More than 90 days past due	73	44
Amounts past due	102	55
	1,389	1,253

Aging analysis is performed based on number of days receivable is overdue. Trade receivables are on average due within 90 days from the date of billing. The receivables that are neither past due nor impaired (i.e. current) relate to a wide range of customers for whom there was no recent history of default.

Receivables that were past due but not impaired relate to a number of customers that have a good track record with the Group. The Group does not hold any collateral over these balances.

(ii) Impairment of trade receivables

Impairment losses in respect of trade receivables are recorded using an allowance account unless the Group is satisfied that recovery of the amount is remote, in which case the impairment loss is written off against trade receivables directly.

The movement in the allowance for expected credit loss during the period is as follows:

	Six months ended 30 June 2025	2024
	USD million	USD million
Balance at the beginning of the period	(92)	(68)
Impairment loss recognized	(7)	(2)
Balance at the end of the period	(99)	(70)

(b) Prepayments and input VAT

	30 June 2025	31 December 2024
	USD million	USD million
VAT recoverable	581	468
Impairment loss on VAT recoverable	(35)	(43)
Net VAT recoverable	546	425
Advances paid to third parties	221	227
Impairment loss on advances paid	(8)	(8)
Net advances paid to third parties	213	219
Advances paid to related parties, including:	37	47
Related parties – companies related through parent company	3	1
Related parties – associates and joint ventures	121	133
Impairment loss on advances paid to related parties – associates and joint ventures	(87)	(87)
Net advances paid to related parties – associates and joint ventures	34	46
Prepaid expenses	11	11
Prepaid other taxes	30	19
	837	721

(c) Trade and other payables

	30 June 2025	31 December 2024
	USD million	USD million
Accounts payable to third parties	991	943
Accounts payable to related parties, including:	267	335
Related parties – companies capable of exerting significant influence	6	5
Related parties – companies related through parent company	100	65
Related parties – associates and joint ventures	161	265
Other payables and accrued liabilities to third parties	282	217
Other payables and accrued liabilities to related parties, including:	2	2
Related parties – companies related through parent company	2	2
Current income tax liabilities	27	38
	1,569	1,535

All of the trade and other payables are expected to be settled within one year or are repayable on demand.

Included in trade and other payables are trade payables with the following ageing analysis as at the reporting date. Ageing analysis is performed based on number of days payable is overdue.

	30 June 2025	31 December 2024
	USD million	USD million
Current	1,072	903
Past due 0-90 days	103	305
Past due 91-120 days	4	21
Past due over 120 days	79	50
Amounts past due	186	376
	1,258	1,279

Lease liabilities that are expected to be settled within one year for the amount of USD 22 million are included in other payables and accrued liabilities as at 30 June 2025 (31 December 2024: USD 16 million).

(d) Advances received

	30 June 2025	31 December 2024
	USD million	USD million
Advances received	681	420
Advances received from related parties, including:	2	–
Related parties – companies related through parent company	2	–
	683	420

Advances received represent contract liabilities to perform obligations under contracts with customers. Advances received are short-term and revenue in respect of the contract liabilities recognized as at the reporting date is fully recognized during next twelve months.

(e) Other non-current assets

	30 June 2025	31 December 2024
	USD million	USD million
Long-term deposits	12	120
Other non-current assets	126	101
	138	221

(f) Investments in equity securities measured at fair value through profit or loss

As at the 30 June 2025 the Group had an investment in RusHydro of 42,754,785,466 shares or effective 9.7% (nominal 9.6%). Investment is treated as equity securities measured at fair value through profit or loss. There were no acquisitions/disposals of the equity securities of RusHydro during six months 2025.

Fair value is estimated in accordance with Level 1 of the fair value hierarchy. The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

(g) Short-term investments

Primarily consist of short-term bank deposits and promissory notes of the company under common control.

(h) Fair value measurement

Management believes that the fair values of financial assets and liabilities approximate their carrying amounts.

12. Equity

(a) Share capital

	Six months ended 30 June 2025		Six months ended 30 June 2024	
	USD	Number of shares	USD	Number of shares
Ordinary shares at the end of the period, authorised	200 million	20 billion	200 million	20 billion
Ordinary shares at 1 January	151,930,148	15,193,014,862	151,930,148	15,193,014,862
Ordinary shares at the end of the period of USD 0.01 each, issued and paid	151,930,148	15,193,014,862	151,930,148	15,193,014,862

(b) Other reserves

Other reserves include the amounts related to: effect of transaction of reorganization under common control, cumulative unrealised actuarial gains and losses on the Group's defined post retirement benefit plans, the effective portion of the accumulative net change in fair value of cash flow hedges and the Group's share of other comprehensive income of associates.

(c) Distributions

Following Company's redomiciliation in September 2020 (Note 1 (a)), the Company may distribute dividends from retained earnings and profit for the reporting period in compliance with the current legislation of the Russian Federation and the provisions of its Charter.

(d) Currency translation reserve

The currency translation reserve comprises all foreign exchange differences arising from the translation of the consolidated financial statements of foreign subsidiaries and equity accounted investees.

13. Loans and borrowings

This note provides information about the contractual terms of the Group's loans and borrowings.

	30 June 2025	31 December 2024
	USD million	USD million
Non-current liabilities		
Secured bank loans	896	1,446
Unsecured bank loans	303	1,009
Unsecured company loans from related parties	72	36
Bonds	987	907
	2,258	3,398
Current liabilities		
Secured bank loans	597	568
Unsecured bank loans	2,163	1,113
Unsecured company loans from related parties	80	69
Bonds	3,334	2,713
Interest payable on loans and bonds	71	57
	6,245	4,520

(a) Loans and borrowings

As at 30 June 2025 the secured bank loans are secured by pledges of 25% + 1 share of Norilsk Nickel (Group's associate).

The nominal value of the Group's loans and borrowings was USD 4,166 million as at 30 June 2025 (31 December 2024: USD 4,287 million).

As at 30 June 2025, the amount of interest payable on unsecured bank loans, secured bank loans and unsecured company loans was USD 7 million, USD 1 million and USD 14 million, respectively (31 December 2024: USD 20 million, USD 4 million and USD 12 million, respectively).

In March 2025, a subsidiary of the Group has drawn down the funds under an existing credit facility agreement with a Russian bank for a total amount of RUB 42.6 billion. At the same time, a subsidiary of the Group entered into a cross-currency interest rate swap transaction from RUB to CNY in the amount of CNY 3.5 billion, maturity – 6 months and the interest rate of 12.0%.

(b) Bonds

As at 30 June 2025 the Group had outstanding (traded in the market) bonds nominated in roubles, Chinese yuan, United Arab Emirates Dirhams, eurobonds nominated in US dollars.

Type	Series	The number of bonds traded in the market	Nominal value, USD million	Nominal interest rate	Put-option date	Maturity date
Bond	BO-01	30,263	–	0.01%	–	07.04.2026
Bond	BO-001P-04	370,000	101	5.95%	–	05.09.2025
Eurobond	–	21,300	21	5.3%	–	03.05.2023
Eurobond	–	19,919	20	4.85%	–	01.02.2023
Bond	BO-05	467,750	65	8.50%	04.08.2025	28.07.2027
Bond	BO-06	117,940	16	8.50%	04.08.2025	28.07.2027
Bond	BO-001P-02	1,000,000	140	3.95%	–	23.12.2025
Bond	BO-001P-03	3,000,000	418	LPR1Y + 0.2%	–	24.12.2025
Bond	BO-001P-05	600,000	84	6.70%	–	08.05.2026
Bond	BO-001P-06	1,000,000	140	7.20%	–	05.08.2026
Bond	BO-001P-07	900,000	126	7.90%	–	09.10.2026
Bond	BO-001P-08	850,000	85	9.25%	–	01.08.2027
Bond	BO-001P-09	30,000,000	382	Key Rate + 2.2%	–	17.06.2027
Bond	BO-001P-10	10,000,000	127	Key Rate + 2.25%	–	06.03.2027
Bond	BO-001P-11	10,000,000	127	Key Rate + 2.5%	–	22.08.2029
Bond	BO-001P-12	650,000	91	10.9%	–	23.03.2026
Bond	001PC-05	30,000,000	382	Key Rate + 3.7%	03.09.2025	20.09.2027
Bond	001PC-06	14,000,000	178	Key Rate + 3.5%	22.10.2025	08.10.2027
Bond	001PC-07	20,000,000	255	Key Rate + 3.5%	22.10.2025	09.10.2027
Bond	BO-001P-14	11,203,427	1,563	12%	19.05.2026	14.05.2027

On 4 March 2025 the Company placed its commercial non-convertible interest-bearing bonds series 001PC-05 in the total amount of RUB 30 billion with a coupon – Key Rate + 3.7%. The maturity of the bonds is 2.5 years subject to put option due within 6 months. In addition to the placement, the Group entered into a cross-currency interest rate swap, which resulted in the exchange-traded rouble bonds exposure being converted in full amount into Chinese yuan exposure with the maturity period in September 2025 and the interest rate of 8.2%.

On 7 March 2025 the Company redeemed bonds series 001PC-01, 001PC-02, 001PC-03, 001PC-04 nominated in Chinese yuan in the total amount of CNY 8.9 billion with a coupon rate is 3.75%, maturity – 2.5 years.

On 28 March 2025 the Company placed on the Moscow Stock Exchange exchange-traded non-documentary interest-bearing non-convertible bonds series BO-001P-12 in the total amount of CNY 650 million with a coupon – 10.90%. The maturity of the bonds is 1 year.

On 21 April 2025 the Company placed its commercial non-convertible interest-bearing bonds series 001PC-06 in the total amount of RUB 14 billion with a coupon – Key Rate + 3.5%. The maturity of the bonds is 2.5 years subject to put option due within 6 months. In addition to the placement, the Group entered into a cross-currency interest rate swap, which resulted in the exchange-traded rouble bonds exposure being converted in full amount into Chinese yuan exposure with the maturity period in October 2025 and the interest rate of 11.00%.

On 22 April 2025 the Company placed its commercial non-convertible interest-bearing non-convertible bonds series 001PC-07 in the total amount of RUB 20 billion with a coupon – Key Rate + 3.5%. The maturity of the bonds is 2.5 years subject to put option due within 6 months. In addition to the placement, the Group entered into several cross-currency interest rate swaps, which resulted in the exchange-traded rouble bonds exposure being converted partially, RUB 6.05 billion, into Chinese yuan exposure with the maturity period in October 2025 and the interest rate of 11.00%, partially, RUB 13.95 billion into US-dollar exposure with the maturity period in October 2025 and the interest rate of 9.73%.

On 24 April 2025 the Company redeemed bonds series BO-001P-01 nominated in Chinese yuan in the amount of CNY 6 billion with a coupon rate is 3.75%, maturity – 2.5 years.

On 16 May 2025 the Company placed on the Moscow Stock Exchange exchange-traded non-documentary interest-bearing non-convertible bonds series BO-001P-14 in the total amount of CNY 11.2 billion with a coupon – 12.0%. The maturity of the bonds is 2 years subject to put option due within 12 months.

As at 30 June 2025, the amount of accrued interest on bonds was USD 49 million (as at 31 December 2024: USD 21 million).

14. Provisions

USD million	Pension liabilities	Site restoration	Provisions for legal claims	Total
Balance at 1 January 2024	47	324	12	383
Provisions made during the period	4	—	—	4
Actuarial loss	2	—	—	2
Provisions utilised during the period	(2)	—	—	(2)
Foreign currency translation	1	(9)	—	(8)
The effect of the passage of time	—	4	—	4
Change in inflation rate	—	4	—	4
Discount rate change	—	(25)	—	(25)
Balance at 30 June 2024	52	298	12	362
Non-current	49	203	—	252
Current	3	95	12	110
Balance at 1 January 2025	53	278	8	339
Provisions made during the period	8	—	—	8
Actuarial loss	1	—	—	1
Provisions utilised during the period	(3)	—	(8)	(11)
Foreign currency translation	22	39	—	61
The effect of the passage of time	—	4	—	4
Change in inflation rate	—	(6)	—	(6)
Discount rate change	—	1	—	1
Balance at 30 June 2025	81	316	—	397
Non-current	76	221	—	297
Current	5	95	—	100

15. Derivative financial assets/liabilities

	30 June 2025		31 December 2024	
	USD million		USD million	
	Derivative assets	Derivative liabilities	Derivative assets	Derivative liabilities
Cross-currency swaps	74	—	19	—
Forward contracts for aluminium and other instruments	7	—	—	26
Total	81	—	19	26
Non-current	—	—	—	—
Current	81	—	19	26

Derivative financial instruments are recorded at their fair value at each reporting date. Fair value is estimated in accordance with Level 3 of the fair value hierarchy based on management estimates and consensus economic forecasts of relevant future prices, net of valuation allowances to accommodate liquidity, modelling and other risks implicit in such estimates. The Group's policy is to recognise transfers between levels of fair value hierarchy as at the date of the event or change in circumstances that caused the transfer. There were no changes in valuation techniques during six-month period ended 30 June 2025.

The movement in the balance of Level 3 fair value measurements of derivatives is as follows:

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Balance at the beginning of the period	(7)	32
Unrealised changes in fair value recognised in the consolidated interim condensed statement of income (finance income/(expense)) during the period	95	41
Unrealised changes in fair value recognised in other comprehensive income (cash flow hedge) during the period	(34)	–
Realised portion of metals, electricity and cross currency swaps	27	(9)
Balance at the end of the period	81	64

Sensitivity analysis showed that derivative financial instruments are not particularly sensitive to changes in main inputs.

Unrealised changes in fair value recognised in other comprehensive income (cash flow hedge) during the period are fully attributable to cross currency swap (Note 13).

16. Commitments and contingencies

(a) Capital commitments

The Group has entered into contracts that result in contractual obligations primarily relating to various construction and capital repair works. The commitments as at 30 June 2025 and 31 December 2024 were approximately USD 854 million and USD 677 million, including VAT, respectively. These commitments are due over a number of years.

(b) Taxation

Russian tax, currency and customs legislation is subject to varying interpretations, and changes, which can occur frequently. Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant local, regional and federal authorities. Notably recent developments in the Russian environment suggest that the authorities in that country are becoming more active in seeking to enforce, through the Russian court system, interpretations of the tax legislation, in particular in relation to the use of certain commercial trading structures, which may be selective for particular tax payers and different to the authorities' previous interpretations or practices. Different and selective interpretations of tax regulations by various government authorities and inconsistent enforcement create further uncertainties in the taxation environment in the Russian Federation.

(c) Environmental contingencies

The Group and its predecessor entities have operated in the Russian Federation, Jamaica, Guyana, the Republic of Guinea and the European Union for many years and certain environmental problems have developed. Governmental authorities are continually considering environmental regulations and their enforcement and the Group periodically evaluates its obligations related thereto. As obligations are determined, they are recognised immediately. The outcome of environmental liabilities under proposed or any future legislation, or as a result of stricter enforcement of existing legislation, cannot reasonably be estimated. Under current levels of enforcement of existing legislation, management believes there are no possible liabilities, which will have a material adverse effect on the financial position or the operating results of the Group. However, the Group anticipates undertaking significant capital projects to improve its future environmental performance and to bring it into full compliance with current legislation.

(d) Legal contingencies

The Group's business activities expose it to a variety of lawsuits and claims which are monitored, assessed and contested on the ongoing basis. Where management believes that a lawsuit or another claim would result in the outflow of the economic benefits for the Group, a best estimate of such outflow is included in provisions in the consolidated interim condensed financial statements (Note 14). As at 30 June 2025 the amount of claims, where management assesses outflow as possible approximates USD 21 million (31 December 2024: USD 24 million).

17. Related party transactions

(a) Transactions with management

Management remuneration

Key management received the following remuneration, which is included in personnel costs:

	Six months ended 30 June	
	2025	2024
	USD million	USD million
Salaries and bonuses	29	36
	29	36

(b) Transactions with associates and joint ventures

Sales to associates and joint ventures are disclosed in Note 5, purchases from associates and joint ventures are disclosed in Note 6, accounts receivable from associates and joint ventures as well as accounts payable to associates and joint ventures are disclosed in Note 11.

(c) Transactions with other related parties

The Group transacts with other related parties, the majority of which are companies related through parent company or under the control of SUAL Partners Limited or shareholders jointly controlling the entity.

Sales to related parties for the period are disclosed in Note 5, purchases from related parties are disclosed in Note 6, finance income and expenses with related parties are disclosed in Note 7, accounts receivable from related parties as well as accounts payable to related parties are disclosed in Note 11.

(d) Related parties balances

As at 30 June 2025, non-current liabilities include balances of related parties – associates and joint ventures of USD 19 million (31 December 2024: USD 18 million).

(e) Pricing policies

Prices for transactions with related parties are determined on a case by case basis but are not necessarily at arm's length.

The Group has entered into three categories of related-party transactions: (i) those entered into on an arm's length basis, (ii) those entered into on non-arm's length terms but as part of a wider deal resulting from arms' length negotiations with unrelated third parties, and (iii) transactions unique to the Group and the counterparty.

18. Events subsequent to the reporting date

In July 2025, the Group completed the first stage of the acquisition of the stake in Pioneer Aluminium Industries Limited (or “the Plant”) and acquired 26% interest in its share capital for the total consideration of USD 243.75 million subject to further adjustments provided for in the share-purchase agreement. Pursuant to the agreement the Group acquires the interest in the Plant’s share capital in three stages up to 50%. Pioneer Aluminium Industries Limited owns and operates a metallurgical grade alumina refinery located in the state of Andhra Pradesh, India, with nameplate production capacity of 1.5 million tonnes. It is the intention of the Group to supply bauxite to and to receive alumina from the Plant pro rata to the Group’s respective shareholding.

In July 2025, subsidiaries of the Group have drawn down the funds under credit facility agreements with Russian banks for a total amount of CNY 9.3 billion, maturity – 1 year. The funds were used for refinancing current repayments.

The corresponding cross-currency interest rate swap to the refinanced facility in the amount of CNY 3.5 billion was terminated in July 2025 with cash inflow of RUB 3.05 billion to the Group.

On 4 August 2025 the Company repurchased bonds series BO-05 nominated in Chinese yuan in the amount of CNY 47.9 million. The balance in the amount of CNY 419.8 million is in the market, the coupon rate is 8.0%, maturity – 1 year.

On 4 August 2025 the Company repurchased bonds series BO-06 nominated in Chinese yuan in the amount of CNY 20.7 million. The balance in the amount of CNY 97.3 million is in the market, the coupon rate is 8.0%, maturity – 1 year.